

Investment Strategy Challenge 2026 · Proposal for NKE Private Wealth (Chak family)

Asian Digital Transformation Autocallable Note

7.20% a year from Asia's semiconductor build-out, with 100% of capital returned at maturity

USD 100mn · 5-year note issued by Natixis · 7.20% p.a. memory coupon · 100% capital protected · Trade date 17 Sep 2026

Agenda

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Client & market

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Executive summary

One note that turns the family's operating expertise into protected returns

7.20%

Memory coupon p.a.

1.80% each quarter the basket is $\geq 100\%$;
missed coupons are paid later when it
recovers

100%

Capital protected

Principal returned in full at maturity
whatever the basket does (Natixis credit
risk only)

49%

Called at first review

Risk-neutral. 79% called within 5 years;
expected life 2.22 years

We recommend a **USD 100mn, 5-year Natixis capital-protected autocallable note** on a basket of five Bloomberg-listed Asian ETFs: Global X Asia Semiconductor (3119 HK) 25%, Global X Japan Semiconductor (2644 JP) 20%, iShares MSCI Taiwan (EWT) 20%, iShares MSCI South Korea (EWY) 20% and Cathay Taiwan ESG High Dividend (00878 TT) 15%. It gives the family the AI hardware layer (chips, memory and chip-making equipment) that complements, rather than duplicates, the infrastructure, power and property they already own. **The family never loses capital at maturity, earns 7.20% a year in the 79% of paths where the basket gets back to its starting level, and gets 100% back in the rest. Fair value is 97.4%, so issuing at par leaves Natixis 2.6% for hedging and margin.**

The family wants growth without putting the legacy at risk

Client diagnosis: third-generation dynasty, succession done, now allocating for legacy

Who they are

- Single-family office: NKE Private Wealth
- Net worth > USD 2bn; mandate USD 100mn (~5%)
- Businesses: tech infrastructure, renewable power plants, real estate in Japan and Greater China

What they want

- Capital appreciation for future generations
- Meaningful exposure to Asia's digital transformation
- To bridge traditional Asian sectors with emerging tech they know

What they can bear

- Moderate risk: preserve the legacy first
- 5-year horizon; coupons can be reinvested
- Accepts limited liquidity on 5% of wealth
- Volatile backdrop: no capital at risk

Client need	Design answer in our note
Capital appreciation	7.20% p.a. coupon, above the 5.69% 5Y USD funding rate, in every path that autocalls; proceeds roll into the next note
Exposure to Asian digital transformation	Semiconductor-heavy basket: the AI hardware layer behind the family's tech-infrastructure business (slide 3)
Generational preservation	100% capital protection at maturity, diversified basket (not worst-of), BPCE-backed issuer
Volatile markets	Memory coupon: a missed coupon is not lost but paid when the basket recovers; drawdowns cannot touch the principal

Why now: Asia builds the hardware of the AI economy

Investment thesis: structural growth themes, and a rate level that makes capital protection cheap

1 Taiwan: the AI foundry

TSMC and its supply chain make most of the world's advanced AI chips; Taiwan's index is dominated by semiconductors.

2 Korea: memory for AI

Samsung and SK hynix supply the high-bandwidth memory every AI accelerator needs; together ~44% of EWY.

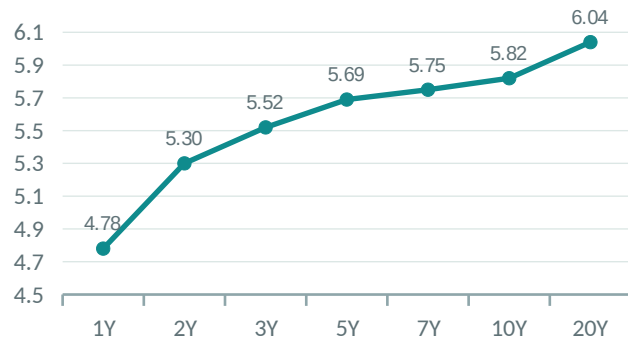
3 Japan: chip-making tools

Tokyo Electron, Advantest and peers make the equipment and testers chip factories need, alongside TSE governance reforms.

4 ESG sleeve

00878 adds ESG-screened Taiwan leaders (MSCI ESG methodology) and a lower-volatility, high-dividend anchor to the basket.

USD funding curve (case grid, %)

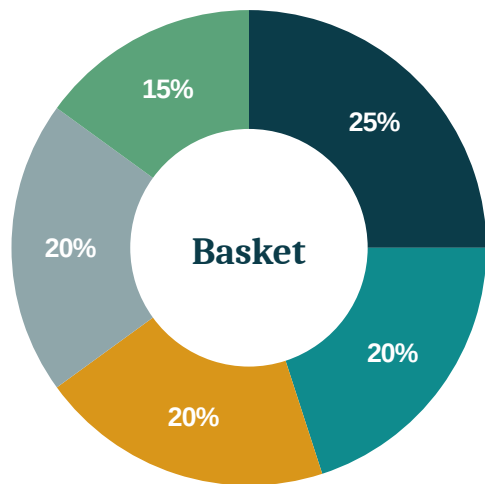


What the curve means for structuring

High USD rates make the 5Y zero-coupon bond cheap (75.8%), so guaranteeing 100% back costs little. Asian equity volatility (basket ~26%) makes it likely the basket revisits 100%, which is what pays the 7.20% coupon.

Underlying: five Asian ETFs across the AI-hardware chain

Bespoke weighted basket, USD payout (quanto on the HKD, JPY and TWD lines); all Bloomberg-listed



- Asia Semiconductor (3119 HK)
- Japan Semiconductor (2644 JP)
- iShares MSCI Taiwan (EWT)
- iShares MSCI South Korea (EWY)
- Taiwan ESG High Dividend (00878 TT)

ETF (Bloomberg)	Wt	Role in the basket	Vol*
Asia Semiconductor (3119 HK)	25%	Pan-Asian chip leaders (40 names; TSMC, Samsung, SK hynix the largest): the core AI-hardware exposure	32%
Japan Semiconductor (2644 JP)	20%	Japanese semiconductor stocks (FactSet Japan Semiconductor Index, e.g. Tokyo Electron, Advantest): the family's home market	38%
iShares MSCI Taiwan (EWT)	20%	Taiwan large caps (TSMC, MediaTek, Delta): AI foundry and server chain in the family's Greater China region	26%
iShares MSCI South Korea (EWY)	20%	Korea large caps (Samsung + SK hynix ~44%): high-bandwidth memory for AI	30%
Taiwan ESG High Dividend (00878 TT)	15%	ESG-screened Taiwan high-dividend leaders (Quanta, UMC, MediaTek): ESG sleeve and lower-volatility anchor	18%

Why a weighted basket, not worst-of: a shock to one ETF is cushioned by the others: basket vol ~26% vs 18%–38% alone. Overlap (TSMC, Samsung, SK hynix sit in several ETFs) keeps correlations high (0.45–0.85).

*Assumed 5Y vols. USD 5M/day ETF rule: EWY, EWT, 2644, 00878 pass; 3119 is borderline (~USD 4–5M/day), verify the 6-month average on Bloomberg. 00878 distributes ~7.6% a year, which lowers its price path.

Term sheet: 5-year capital-protected autocallable, 7.20% coupon

Why this design: above the funding rate, with zero chance of losing capital at maturity

Issuer	Natixis SA (BPCE Group)
Notional / currency	USD 100,000,000 · quanto USD
Trade / maturity	17 Sep 2026 / 17 Sep 2031 (5Y)
Underlying	Weighted basket of 5 Asian ETFs (slide 3)
Observation	Quarterly, 20 dates; autocall from Q4 (Year 1)
Coupon	7.20% p.a. (1.80% per quarter), paid if basket $\geq$ 100%
Memory	Missed coupons paid on the next date basket $\geq$ 100%
Autocall	Basket $\geq$ 100% from Q4: 100% + coupons due, note ends
At maturity	100% of principal, whatever the basket level
Issue price / fair value	100% / 97.4%

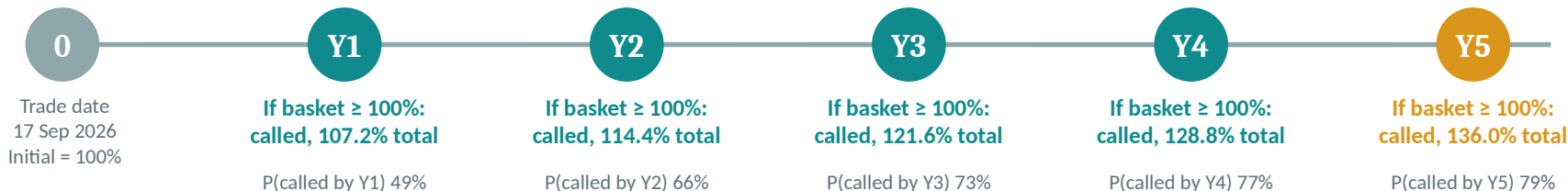
Autocall design (same basket, issued at 98%)	Fair cpn	Loss risk
Classic: fixed coupon, 70% barrier	7.3%	15.7%
Phoenix memory (80% cpn barrier), 70% barrier	9.9%	15.7%
Snowball, 65% barrier	13.6%	14.1%
Classic, 70% barrier, 10%-vol basket	4.1%	1.1%
Capital protected, memory coupon (ours)	7.8%	0.0%

Design call: The draft's 8.5% fixed coupon is worth 100.4% to the client, so Natixis cannot fund it. At-risk designs pay 7%–14% for a 14%–16% chance of losing capital. Cutting that to ~1% needs a 10%-vol basket and pays only 4.1%, below the 5.69% bond. Full protection prices at 7.8%; we offer 7.20%.

How it pays: one question every quarter

Is the basket at or above 100% of its starting level? (checked quarterly; one date per year shown)

Q1–Q3: coupon only (1.80% if basket $\geq$ 100%). From Q4: coupon plus autocall. Missed coupons are always caught up.



A Autocalled

Basket $\geq$ 100% on any date from Q4: 100% plus every coupon to date, including missed ones. The note ends.

79% risk-neutral probability

B Not called, early coupons

Basket $\geq$ 100% in Q1–Q3 only, never afterwards. The family keeps those coupons and gets 100% back at Y5.

8% risk-neutral probability

C Not called, no coupon

Basket never back to 100%. The family gets 100% back at Y5: a 0% return, but no capital loss.

13% risk-neutral probability

Payoff diagrams: what the family receives, and when

Left: total cash if called at each date. Right: payoff at Y5 if never called earlier, vs. owning the basket directly

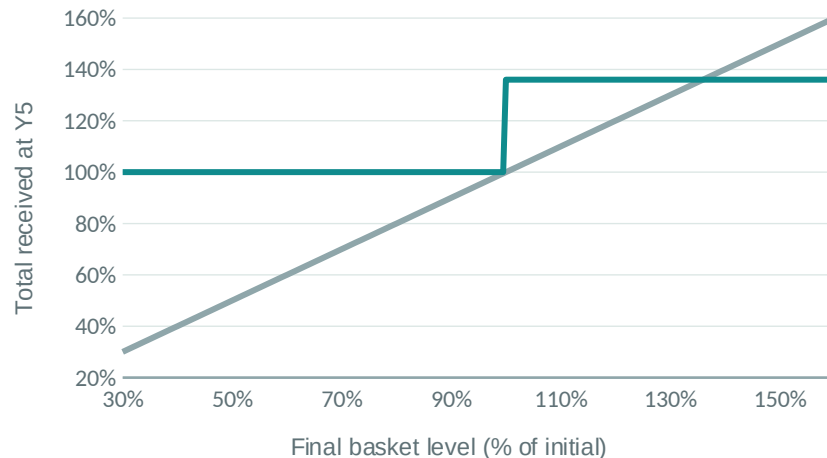
Principal + all coupons (% of notional), by call quarter Q4–Q20



Y1: 107.2% (USD 107.2mn)
Y2: 114.4% (USD 114.4mn)
Y3: 121.6% (USD 121.6mn)
Y4: 128.8% (USD 128.8mn)
Y5: 136.0% (USD 136.0mn)

With memory, the total depends only on when the note is called, not on how many coupon dates were missed along the way.

Payoff at Y5 (note not called earlier)



Autocallable note Basket directly

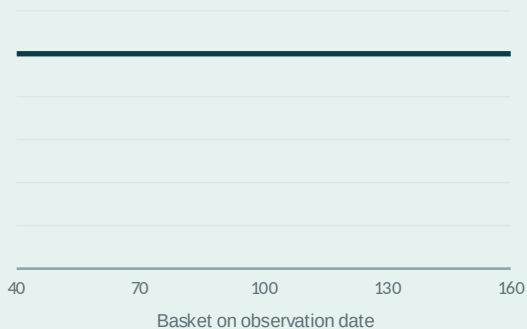
- < 100%: 100% back; capital protected however far the basket falls
- ≥ 100%: 136.0% (principal + all 20 coupons via memory)

Under the hood: a bond plus a strip of digital options

Replication used by the Natixis desk to price and hedge (values in % of notional, at trade date)

Protected principal

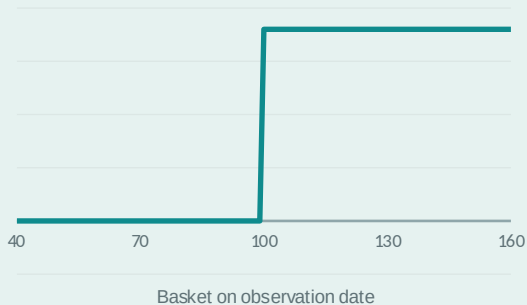
100% repaid at autocall or maturity. Worth 89.4%: early repayment is worth more than a 5Y bond (75.8%)



+

Long quarterly digitals

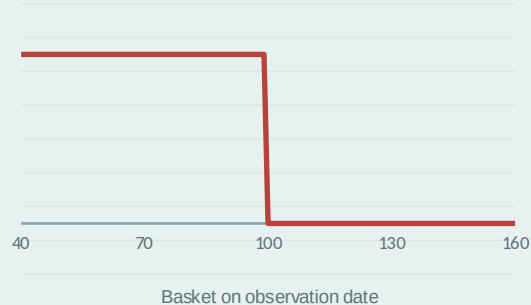
Pay 1.80%, plus missed coupons, on each date the basket is $\geq 100\%$. Worth 8.0%



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Autocall (Natixis's side)

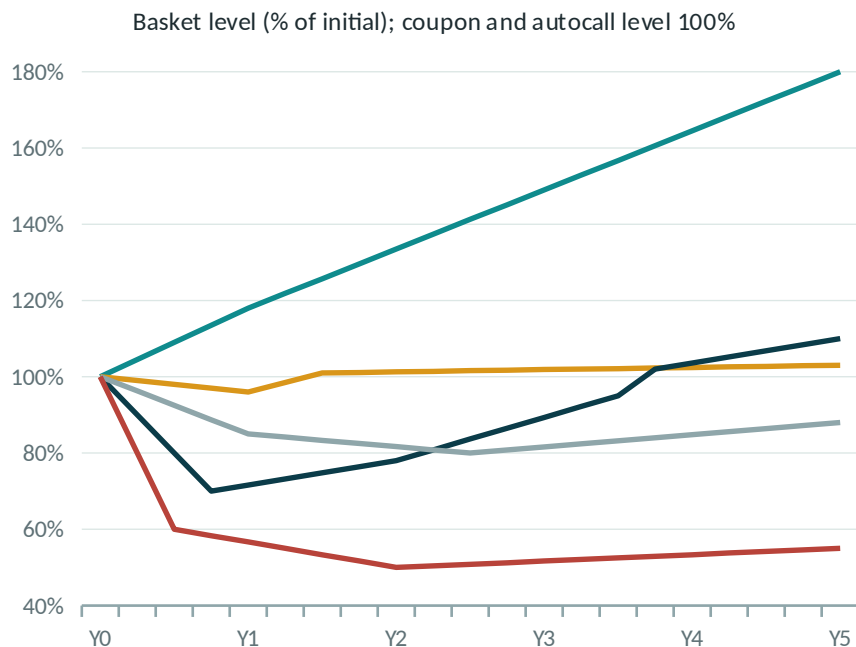
Remaining coupons: cancelled on a date from Q4 with basket $\geq 100\%$, when the note ends. This is what keeps the coupon affordable



Fair value 97.4% = principal 89.4% + coupons 8.0% (net of autocall). Issued at 100%, leaving 2.6% for hedging costs and Natixis margin. The client sells no put, so it takes no equity downside: it gives up upside above the coupon instead.

Scenario analysis: five paths for Asian markets

Hypothetical quarterly basket paths and what the USD 100mn note returns in each

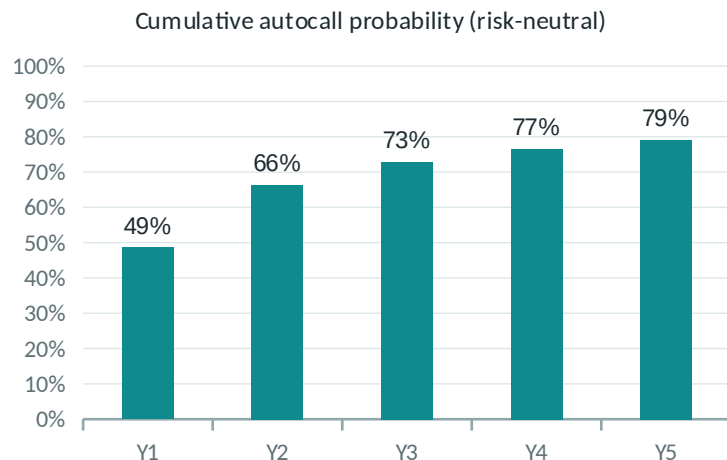


Scenario	Outcome	Coupons	USD mn	IRR	Basket
AI capex boom	Called Q4 (1y)	7.2%	107.2	7.4%	–
Range-bound Asia	Called Q6 (1.5y)	10.8%	110.8	7.1%	–
2022-style tech drawdown, slow recovery	Called Q15 (3.75y)	27.0%	127.0	6.6%	–
Lost decade (sideways below par)	100% back at Y5	0.0%	100.0	0.0%	-12%
Geopolitical shock, no recovery	100% back at Y5	0.0%	100.0	0.0%	-45%

Reading: the note earns ~6.6%–7.4% a year whenever the basket gets back to 100%, even after a 30% drawdown: memory pays all 15 missed coupons at Q15. In a lost decade or a lasting shock the family gets 100% back, while the basket itself is down 12–45%.

Simulation back-test: most paths end early with full coupons

Monte Carlo outcome distribution: risk-neutral and under three real-world equity return assumptions



Metric	Risk-neutral	0% equity p.a.	4% equity p.a.	8% equity p.a.
Called within 5Y	79%	68%	77%	84%
Expected life (yrs)	2.2	2.6	2.3	2.0
Mean IRR	5.8%	5.0%	5.6%	6.1%
Median IRR	7.3%	7.1%	7.2%	7.3%
Avg coupons received	8.7%	7.6%	8.4%	9.0%
Zero return (100% back)	13%	21%	15%	10%
Capital loss	0%	0%	0%	0%

49%

called at the first review
(107.2% total)

0%

chance of losing capital at
maturity

13%

of paths earn nothing:
100% back after 5 years

Risks for the family, and how Natixis hedges its side

Transparent disclosure plus a desk hedging plan for every exposure

Risk	What could happen	Mitigant
Opportunity cost	Basket never back to 100%: 0% for 5 years (~13% of paths)	Coupon above the funding rate in most paths; only 5% of wealth
Capped upside	Basket +80% still pays 7.20% p.a. and is called at Y1	Rest of family wealth keeps direct equity exposure
ETF structure	00878 pays ~7.6% a year out, lowering its price path; 3119 trading is thin; ETF tracking error	Small 00878 weight; verify volumes; Natixis can reference total-return versions
Issuer credit	Protection depends on Natixis / BPCE paying	BPCE senior rating; optional collateralised wrapper
Liquidity / MTM	Sold before maturity, the price can be below 100%	Natixis daily indicative price; hold to call or maturity

Pricing sensitivity (fair coupon): base 7.8% · vol ±3pts 7.5%–8.1% · corr ±0.15 7.6%–8.0% · equity drift –1/–2% 8.3%–8.9%. The 7.20% offer stays fundable in every case.

Coupon digitals

Natixis owes basket digitals struck at 100%: replicated with tight basket call spreads, delta-hedged with ETF units, constituent stocks and index futures as proxies; listed options on EWY/EWT

Vol & correlation

Coupon value moves with basket vol and correlation (fair 7.5%–8.1% for vol ±3pts): managed with listed index options and correlation trades

Quanto FX

EWT and EWY already trade in USD; 3119 (HKD, pegged), 2644 (JPY) and 00878 (TWD) need FX forwards and a quanto adjustment

Rates & funding

Protected principal funded at the 5.69% curve and hedged with USD swaps; the autocall shortens the liability

Appendix A: pricing assumptions and methodology

Inputs to refresh on Bloomberg at trade date (BVOL / OVDV for vols, CORR for correlations)

ETF	Weight	Vol	Div	3119 HK	2644 JP	EWT US	EWY US	00878 TT
3119 HK	25%	32%	1.0%	1.00	0.70	0.85	0.80	0.60
2644 JP	20%	38%	0.8%	0.70	1.00	0.60	0.55	0.45
EWT US	20%	26%	2.6%	0.85	0.60	1.00	0.70	0.75
EWY US	20%	30%	1.2%	0.80	0.55	0.70	1.00	0.55
00878 TT	15%	18%	7.6%	0.60	0.45	0.75	0.55	1.00

Model. Correlated GBM for each ETF, 200,000 paths, quarterly steps. Risk-neutral drift = USD funding (linear interpolation of case grid) – dividend yield. Quanto adjustment ignored (assumed hedged by the desk; to be added with FX-equity correlations).

Discounting. USD funding grid from the case rules; 5Y discount factor 0.758.

Coupon solve. Bisection on coupon so that PV = 98% (2% hedging cost and margin).

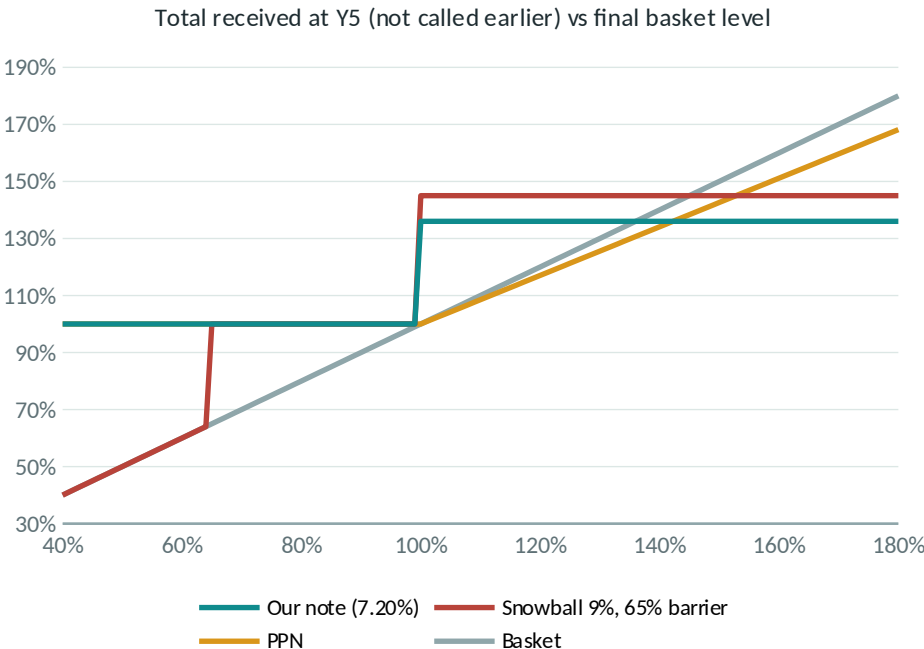
Historical back-test (to run). Monthly Bloomberg history since 2021 for all five ETFs (00878 and 3119 launched in 2020–21). Launch a hypothetical note every month, apply the same coupon, memory and autocall rules, and record coupons, life and IRR by launch year.

Design variant (capital protected)	Fair cpn
Coupon barrier 100% (base)	7.8%
Coupon barrier 95%	7.1%
Coupon barrier 90%	6.6%
First autocall at Y2	7.9%
Equity drift –1%	8.3%
Equity drift –2%	8.9%
Vol +3pts / –3pts	8.1% / 7.5%

All variants priced at 98% with the same basket and inputs. Code: pricing/scenario2_autocall_mc.py

Appendix B: alternatives for the investment committee

Same basket: a higher-coupon at-risk snowball, and a pure participation note



Option	Return	Loss risk
Protected autocallable (ours)	7.20% p.a. memory coupon	0%
Snowball, 65% barrier	9% p.a., paid at call	14.1%
Principal-protected note	85% of basket gain at Y5	0%

Trade-off: The snowball pays 9% but loses capital in ~14% of paths. The PPN keeps full protection with uncapped upside, but pays nothing unless the basket ends above 100% after 5 years and has no early exit. Our note sits between them: full protection, a coupon above the funding rate, and money usually back within ~2 years.

Monte Carlo, 200k paths. Vols, dividends and correlations are assumptions to refresh with Bloomberg data as of the 17 Sep 2026 trade date; discounting uses the USD funding grid.